

The Impact of Auditor Rotations on Key Audit Matters: An Empirical Analysis

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Abstract

This study examines how auditor rotations affect Key Audit Matters (KAMs) in audit reports, using data from 45 companies listed on the Palestine Exchange (2018–2023). It finds that firm rotations significantly influence KAMs, while partner rotations have minimal impact. The results highlight the role of institutional frameworks and professional judgment in audit practices, contributing to the debate on mandatory firm rotation policies. These insights are particularly relevant for emerging markets like Palestine, where evolving regulatory structures and the interplay between global standards and local contexts create unique challenges for auditing practices.

Keywords

Auditor rotation, Key Audit Matters (KAMs), audit quality, Palestine Exchange, ISA 701, Financial Reports.

1. Introduction

Auditor reporting practices have undergone significant transformations with the introduction of Key Audit Matters (KAMs). Defined by the International Auditing and Assurance Standards Board (IAASB) under International Standard on Auditing (ISA) 701, KAMs represent the most significant matters identified during an audit and are communicated in the auditor's report to provide enhanced transparency. By bridging the information gap between auditors and stakeholders, KAMs aim to foster accountability, trust, and decision-making utility.

In the context of Palestine, where the financial ecosystem is nascent and evolving, auditor rotations play a pivotal role in influencing the quality and variability of KAM disclosures. Audit firm and partner rotations are regulatory mechanisms designed to mitigate risks associated with long-term auditor-client relationships. While global evidence highlights the transformative potential of firm rotations, their effects remain underexplored in emerging markets like Palestine, where cultural, economic, and institutional factors uniquely shape audit practices. This study seeks to address this gap by examining the interplay between auditor rotations and KAM disclosures, contributing insights into the potential benefits and trade-offs of mandatory firm rotation policies.

2. Hypotheses Development

Under ISA 701, auditors are required to disclose Key Audit Matters (KAMs) as part of their reporting responsibilities (IAASB, 2015). By highlighting the most critical issues identified during the audit, KAMs provide stakeholders with valuable insights into the auditor's risk assessment and judgment processes. Previous studies suggest that KAMs enhance the perceived credibility of audit reports (Ozlanski, 2019) and improve the utility of financial statements for decision-making by investors and other stakeholders (Cohen et al., 2013). However, the effectiveness and consistency of KAM disclosures are heavily influenced by the professional judgment of auditors, resulting in variability across firms and jurisdictions (Pinto et al., 2020).

Audit firm and partner rotations are regulatory mechanisms designed to strengthen auditor independence by reducing the risks of overly familiar relationships with clients. Mandatory firm rotations introduce fresh perspectives and new methodologies into the audit process, often resulting in increased scrutiny and a

renewed focus on significant issues (Ewelt-Knauer et al., 2013). Partner rotations, in contrast, prioritize continuity and the retention of institutional knowledge within the same firm, leading to more subtle changes in audit practices (Knechel et al., 2020). This trade-off between variability and consistency is particularly pronounced in KAM disclosures. Firm rotations tend to increase variability by introducing new methodologies and risk assessments, whereas partner rotations promote standardization due to adherence to firm-wide policies and practices.

This study explores these dynamics within the Palestinian context, addressing the following research questions:

- **RQ1:** Does a change in the audit firm affect the key audit matters included in the auditor's report? Firm rotations are expected to have a significant influence on KAM disclosures. A new audit firm typically introduces fresh perspectives, methodologies, and risk assessments, which can significantly alter the KAMs reported (Chen et al., 2008). Accordingly, we hypothesize: **H1:** A change in the audit firm will have a significant effect on the key audit matters disclosed in the auditor's report.
- **RQ2:** Does a change in the audit partner affect the key audit matters included in the auditor's report? Partner rotations are generally less disruptive than firm rotations, as they preserve continuity in audit methodologies and institutional knowledge (Ruiz-Barbadillo et al., 2009). Nonetheless, a new audit partner may introduce some degree of variability due to differences in individual judgment or emphasis on specific audit areas (Carcello et al., 2004). Thus, we hypothesize: **H2:** A change in the audit partner will have a limited effect on the key audit matters disclosed in the auditor's report.

To test these hypotheses, the study employs a combination of descriptive analysis, non-parametric tests, correlation analyses, and regression modeling. These methods are used to evaluate the extent and nature of changes in KAM disclosures resulting from both audit firm and partner rotations, providing a nuanced understanding of their respective impacts.

3. Methodology

3.1. Data Collection

The study analysis is based on a dataset of 45 companies listed on the Palestine Exchange over the six-year period from 2018 to 2023. This timeframe was selected as it followed the global initiation of KAM reporting in 2017. Data were gathered from publicly available audit reports. Companies that did not release financial statements during the study period were excluded. **Table 1** presents below the sample selection.

The primary focus was on extracting KAM-related information, including the total number of KAMs disclosed, the introduction of new KAMs, the removal of previously reported KAMs, and the net changes in KAM disclosures. Additionally, details regarding audit firm rotations and partner rotations were obtained through disclosures in the audit reports. Control variables were included to account for firm-specific and audit firm-specific characteristics that might influence KAM reporting practices.

Table 2 presents the distribution of companies per year based on the number of KAMs disclosed from 2018 to 2023, with a total of 267 companies analyzed across six years. The table shows that most companies disclosed 1, 2 or 3 KAMs per year, while companies with no KAMs or 4 or more KAMs were less frequent. The distribution highlights variability in the audit focus and complexity across different years.

Table 3 shows the distribution of the audit firm rotations, and the distribution of audit partner rotations over the sample period. There are 19 audit firm rotations and 44 audit partner rotations over the sample period.

Table 1: Composition of Sample

Palestine Exchange (PE) Index companies	Observations
Listed throughout study period of 2018–2023 (49 companies)	294
Less: No expanded audit report (4 companies)	-24
Less: No expanded audit report for 2023 only (3 companies)	-3
Total sample with KAM disclosure (45 companies)	267

Table 2: Number of Companies Per Year and Number of KAM

KAM (n)	2018	2019	2020	2021	2022	2023	Total
0	6	2	6	4	8	5	31
1	22	27	23	28	26	21	147
2	7	9	8	6	4	9	43
3	8	4	7	6	6	7	38
4	2	2	1	1	1	0	7
5	0	1	0	0	0	0	1
Total	45	45	45	45	45	42	267

Table 3: Distribution of the auditor rotations by year

Change / Year	2019*	2020	2021	2022	2023	Total	%
Audit firm rotations	3	5	3	4	4	19	8.5%
Audit partner rotations	12	11	6	7	8	44	20%
No rotation	33	34	39	38	34	178	80%
Grand Total	45	45	45	45	42	222	

* The Year 2018 data was used to report the changes in Year 2019 and thus was not included in the table.

3.2. Variable Definition

The analysis employs a structured set of variables to measure KAM disclosures, changes, and the effects of auditor rotations. Two key variables related to KAM disclosures are defined: **K_NUM**, representing the total number of KAMs included in the audit report, and **K_WORDS**, capturing the total word count used to describe them, reflecting the depth of explanation provided.

To evaluate changes in KAM disclosures between the current and prior year audit reports, three primary measures were calculated: **N_NEW**, representing the number of new KAMs introduced in the current year; **N_DROP**, indicating the number of KAMs removed in the current year; and **N_CHANGE**, which reflects the overall net change in KAMs and is computed as the sum of **N_NEW** and **N_DROP**. Additionally, two binary variables were established for use in logistic regression models: **K_NEW**, which equals 1 if a new KAM is added in the current year compared to the prior year and 0 otherwise, and **K_DROP**, which equals 1 if a KAM is dropped in the current year compared to the prior year and 0 otherwise. **Appendix A** provides a summary of all variables employed in the study, categorized into dependent, independent, and control variables.

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3.3. Model

To test the research questions, the following model was used based on prior studies examining the determinants of key audit matters including Sierra-García et al. (2019), Velte (2018), Abdelfattah et al. (2020) and Rousseau et al. (2020):

$$KAM_{it} = \beta_0 + Firm_SW_{it} + PARTNER_SW_{it} + Audit\ variables_{it} + Client\ Variables_{it} + Industry_{it} + Year_t + \varepsilon_{it}$$

where **KAM** refers to one of the dependent variables described in the table in the appendix. Auditor switches are proxied by the two binary variables **FIRM_SW** and **PARTNER_SW**, where **FIRM_SW** is equal to 1 if company *i* changed their audit firm in year *t* and 0 otherwise and **PARTNER_SW** is equal to 1 if company *i* changed their audit partner but retained their audit firm in year *t* and 0 otherwise.

4. Results

The analytical framework employed in this study involved multiple layers of analysis. Descriptive statistics were used to explore patterns in KAM-related variables across auditor rotation scenarios, providing foundational insights into data distribution and key trends. To identify statistically significant differences in KAM variables between firms with rotated and non-rotated auditors, Mann-Whitney U tests were conducted. This non-parametric approach was chosen for its robustness in addressing datasets with non-normal distributions. Additionally, Pearson correlation analysis was conducted to explore the relationships between KAM variables and other key factors, offering further insights into the interdependence within the dataset. Finally, regression analysis was performed using Ordinary Least Squares (OLS) models to quantify the impact of auditor rotations on KAM disclosures.

4.1. Descriptive Statistics:

The key summary statistics for the variables analyzed in this study are presented in **Table 4**, including metrics such as minimums, maximums, means, and standard deviations.

The inclusion, removal, and description of KAMs exhibit notable variation, highlighting the potential influence of auditor judgment and firm-specific characteristics on these disclosures. Regarding auditor relationships, the mean value of **FIRM_SW** is 0.085, signifying that only 8.6% of companies undergo audit firm rotation in a given year. In contrast, the mean of **PARTNER_SW** is 0.194, indicating that 19.4% of companies experience audit partner rotation annually. These relatively low rotation rates highlight a general preference for maintaining consistent audit relationships.

Furthermore, the mean of Big4 at 0.671 reveals that approximately 67% of companies are audited by one of the Big 4 firms, underscoring the significant role these firms play in the audit landscape and potentially influencing KAM disclosure trends.

Table 4: Descriptive Statistics

Variable	Min	Max	Mean	Standard Deviation
K_WORDS	0.00	631.00	162.70	125.28
K_COUNT	0.00	5.00	1.41	0.96
N_NEW	0.00	3.00	0.30	0.61
N_DROP	0.00	3.00	0.33	0.63
N_CHANGE	0.00	5.00	0.63	1.00
K_NEW	0.00	1.00	0.23	0.42
K_DROP	0.00	1.00	0.26	0.44
PARTNER_SW	0.00	1.00	0.19	0.40
FIRM_SW	0.00	1.00	0.09	0.28
SPECIALIST	0.00	1.00	0.84	0.37
INDUSTRY	1.00	5.00	3.14	1.44
AUDIT_FIRM	1.00	9.00	2.68	2.00
YEARS	2.00	6.00	3.97	1.41
BIG4	0.00	1.00	0.67	0.47
REVENUE	0.00	20.90	16.39	2.94
CURRENT_RATIO	0.12	225.02	5.85	22.27
LOSS	0.00	1.00	0.81	0.39
PPE	0.00	19.27	15.23	3.37
SIZE	13.89	22.69	18.20	1.77
LEVERAGE	0.00	8.30	0.53	0.59
ROA	-0.22	0.35	0.03	0.06

4.2. Non-Parametric Test:

Mann-Whitney U tests were conducted to assess differences in KAM metrics between rotated and non-rotated auditors. Results from these tests are presented in **Table 5**.

Table 5: Mann-Whitney U tests

Rotation Type	Test Variable	U Statistic	P-Value
Firm Rotation	K_COUNT	1782.0	0.5454
Firm Rotation	K_WORDS	1768.0	0.5498
Firm Rotation	N_NEW	1188.5	0.0001
Firm Rotation	N_DROP	1681.5	0.2296
Firm Rotation	N_CHANGE	1209.0	0.0016
Partner Rotation	K_COUNT	3409.5	0.1986
Partner Rotation	K_WORDS	3194.5	0.0838
Partner Rotation	N_NEW	3188.5	0.0167
Partner Rotation	N_DROP	3743.0	0.7172
Partner Rotation	N_CHANGE	3368.5	0.1353

The results show that there is a statistically significant difference in the number of new KAMs disclosed between firms undergoing rotation and those that are not. This suggests that audit firm rotation leads to the identification and disclosure of new KAMs. Furthermore, Audit firm rotation significantly impacts the total number of changes in KAMs. Similarly, partner rotation demonstrates a significant effect on the number of new KAMs disclosed. This suggests that when a new audit partner takes over, they are more likely to introduce new KAMs.

4.3. Correlation Test:

In **Table 6**, the Pearson correlation coefficients are presented for the variables included in the analysis. The results reveal that both firm and partner rotations exhibit moderate positive correlations with the disclosure of new KAMs. Specifically, the correlation of $r=0.33$ between **FIRM_SW** and **N_NEW** indicates that audit firm rotation is moderately associated with the identification and disclosure of new KAMs. Similarly, the correlation of $r=0.19$ between **PARTNER_SW** and **N_NEW** suggests that the involvement of a new audit partner contributes to a slight increase in the number of new KAMs disclosed.

Table 6: Pearson correlation test

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)	(17)	(18)	(19)
(1) K_WORDS	1																		
(2) K_COUNT	0.76	1																	
(3) N_NEW	0.37	0.47	1																
(4) N_DROP	0.09	0.06	0.30	1															
(5) N_CHANGE	0.28	0.33	0.80	0.81	1														
(6) PARTNER_SW	0.05	0.05	0.19	0.03	0.14	1													
(7) FIRM_SW	0.01	0.02	0.33	0.10	0.26	0.58	1												
(8) SPECIALIST	0.47	0.25	-0.01	-0.05	-0.04	0.12	0.00	1											
(9) INDUSTRY	-0.01	-0.01	-0.04	0.01	-0.02	-0.16	-0.05	-0.05	1										
(10) AUDIT FIRM	-0.22	-0.03	0.13	0.09	0.13	0.09	0.29	-0.67	0.02	1									
(11) YEARS	0.07	-0.07	-0.09	-0.12	-0.13	-0.10	0.02	-0.06	0.03	0.15	1								
(12) BIG4	0.22	-0.08	-0.11	-0.05	-0.10	-0.02	-0.20	0.62	-0.03	-0.85	-0.12	1							
(13) REVENUE	0.45	0.33	0.10	0.16	0.17	0.13	0.08	0.41	-0.18	-0.22	0.02	0.29	1						
(14) CURRENT RATIO	-0.20	-0.18	-0.03	-0.03	-0.04	-0.07	-0.05	-0.32	0.16	0.16	0.07	-0.19	-0.22	1					
(15) LOSS	-0.04	-0.13	-0.05	-0.02	-0.04	0.00	0.02	0.01	-0.23	0.12	-0.03	-0.07	0.26	-0.05	1				
(16) PPE	0.32	0.24	0.10	0.07	0.10	0.09	0.03	0.13	-0.17	-0.12	0.01	0.16	0.53	-0.33	0.08	1			
(17) SIZE	0.44	0.28	0.10	0.07	0.10	0.08	0.03	0.30	-0.06	-0.33	0.03	0.34	0.62	-0.15	0.16	0.67	1		
(18) LEVERAGE	0.20	0.19	0.03	0.01	0.03	0.05	0.03	0.15	-0.16	-0.04	0.03	-0.01	0.20	-0.16	0.03	0.14	0.17	1	
(19) ROA	-0.13	-0.15	-0.04	-0.05	-0.06	-0.04	-0.03	-0.03	-0.02	0.09	-0.03	-0.05	0.09	0.04	0.58	0.02	-0.09	0.17	1

4.4. Regression Analysis:

Ordinary Least Squares (OLS) regression was employed to quantify the impact of auditor rotations on KAM disclosures while controlling for other relevant factors. **Table 7** provides the regression results.

The regression analysis reveals significant positive coefficients for **FIRM_SW** with respect to **N_NEW** (0.68, $p = 0.000$) and **N_CHANGE** (0.89, $p = 0.002$), indicating that audit firm rotations are a key driver of changes in KAM disclosures. Specifically, firm rotations are strongly associated with the introduction of new KAMs and the overall net change in KAM disclosures. These findings support H1 and align with the hypothesis that a new audit firm may reassess audit risks and provide a fresh perspective, resulting in substantive changes to KAM reporting. Interestingly, no significant effects were observed for **K_COUNT** or **K_WORDS**, suggesting that while firm rotations influence the content of KAM disclosures, they do not significantly affect the number or length of the matters reported. Non-parametric tests (**Table 6**) corroborate these findings, showing p -values below 0.05 for firm rotations affecting **N_NEW** and **N_CHANGE** only.

In contrast, regression results for **PARTNER_SW** indicate no statistically significant coefficients across KAM variables, supporting **H2**, which posits that audit partner rotations have a limited effect on KAM disclosures. This finding suggests that while partner rotations ensure compliance with independence regulations, they do not substantially alter KAM reporting practices, likely due to the continuity of methodologies and institutional knowledge within the same audit firm. However, the non-parametric tests (**Table 6**) reveal a marginal effect of partner rotations on **N_NEW**, with p -values slightly below 0.05, indicating that in some cases, partner changes may lead to the introduction of new KAMs, albeit less frequently than firm rotations.

Table 7: Regression Analysis

Variable	K_WORDS	K_COUNT	N_NEW	N_DROP	N_CHANGE
FIRM_SW	-32.07 (0.312)	-0.28 (0.274)	0.68 (0.000)	0.21 (0.296)	0.89 (0.004)
PARTNER_SW	-10.84 (0.616)	-0.04 (0.840)	-0.05 (0.682)	-0.10 (0.474)	-0.15 (0.474)
AUDIT FIRM	18.18 (0.018)	-0.02 (0.751)	0.01 (0.752)	0.04 (0.381)	0.06 (0.445)
REVENUE	5.56 (0.104)	0.08 (0.003)	0.01 (0.546)	0.05 (0.011)	0.07 (0.042)
CURRENT RATIO	-0.01 (0.982)	0.00 (0.203)	0.00 (0.861)	0.00 (0.677)	0.00 (0.705)
LOSS	-37.08 (0.142)	-0.57 (0.005)	-0.22 (0.131)	-0.09 (0.568)	-0.31 (0.195)
PPE	1.00 (0.752)	-0.01 (0.822)	-0.01 (0.763)	-0.01 (0.569)	-0.02 (0.578)
SIZE	16.80 (0.021)	0.08 (0.201)	0.03 (0.500)	-0.02 (0.692)	0.01 (0.878)
LEVERAGE	17.88 (0.170)	0.12 (0.254)	-0.01 (0.889)	0.02 (0.834)	0.01 (0.959)
ROA	-205.91 (0.239)	-1.34 (0.341)	0.26 (0.797)	-0.94 (0.389)	-0.67 (0.686)
BIG4	-6.53 (0.819)	-1.14 (0.000)	-0.17 (0.308)	0.05 (0.770)	-0.12 (0.665)
SPECIALIST	176.32 (0.000)	0.89 (0.000)	0.02 (0.916)	-0.20 (0.266)	-0.19 (0.509)
INDUSTRY	36.90 (0.285)	0.40 (0.156)	0.19 (0.335)	0.22 (0.316)	0.41 (0.215)
YEARS	2.61 (0.596)	-0.08 (0.037)	-0.05 (0.058)	-0.07 (0.025)	-0.12 (0.009)

4.5. Discussion

The findings of this study provide a nuanced understanding of the role auditor rotations play in shaping Key Audit Matter (KAM) disclosures. The results confirm that partner and firm rotations have distinct impacts, reflecting their underlying roles within the audit process. Partner rotations, as expected, exhibited limited effects on KAM disclosures, emphasizing continuity and consistency in audit practices. These rotations prioritize the preservation of institutional knowledge and adherence to standardized methodologies, which are vital for maintaining reliability and comparability in audit reports. However, this consistency can also constrain the ability to uncover novel risks or introduce fresh perspectives, which may be crucial in rapidly evolving or complex audit environments.

Firm rotations, on the other hand, significantly impact KAM disclosures, introducing variability and fresh perspectives that align with ISA 701's goals of enhancing transparency and stakeholder confidence. These findings highlight the value of firm rotations as a regulatory mechanism, particularly in emerging markets like Palestine, where developing regulatory structures and audit practices benefit from external scrutiny and innovation.

From a policy perspective, the findings strongly support mandatory firm rotation policies as a tool for enhancing audit quality and fostering transparency. However, the limited impact of partner rotations raises questions about their standalone efficacy in driving substantive changes in KAM disclosures. A hybrid regulatory approach—extending the tenure of audit partners while mandating periodic firm rotations—could strike a balance between maintaining institutional continuity and introducing fresh perspectives. In emerging markets, complementary measures such as capacity-building programs, enhanced oversight mechanisms, and tailored regulatory frameworks may further strengthen the effectiveness of auditor rotations in promoting audit quality and stakeholder trust.

5. Conclusion

This study contributes to the growing body of literature on auditor rotations and their impact on KAM disclosures by providing empirical evidence from an emerging market context. The findings reveal that firm rotations significantly influence KAM disclosures, introducing variability that reflects fresh methodological approaches and enhanced scrutiny. In contrast, partner rotations prioritize continuity, emphasizing consistency in audit practices while exhibiting limited influence on the introduction or removal of KAMs.

Future research should expand on these findings by exploring the interplay between auditor rotations and KAM disclosures in other markets, providing comparative insights into audit practices across different regulatory and cultural contexts. Additional research could also investigate the long-term effects of rotation policies on audit quality and stakeholder trust, offering deeper insights into the evolving dynamics of the auditing profession.

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Appendix A. Definitions of variables

Variable	Description
Dependent Variables – KAM related variables	
K_NUM	Number of KAMs disclosed in the audit report.
K_WORDS	Total number of words in the KAM matter description for all KAMs reported in the audit report.
N_NEW	Number of entirely new KAMs disclosed in the current year's audit report compared to last year.
N_DROP	Number of KAMs that appeared in last year's audit report which were not reported in the current year's audit report
K_CHANGE	Total change in KAMs, calculated as the sum of N_NEW and N_DROP.
K_NEW	1 if a new KAM is reported in the current year audit report, and 0 otherwise.
K_DROP	1 if a KAM is dropped from the prior year audit report, and 0 otherwise.
Independent Variables - Switch variables	
FIRM_SW	Audit firm rotation, 1 for the first year of an audit firm's tenure, and 0 otherwise.
PARTNER_SW	Audit partner rotation, 1 for the first year of an audit partner's tenure where the company has retained the same audit firm as the previous year, and 0 otherwise.
Control Variables - Audit Firm variables	
AUDIT FIRM	Categorical variable reflects the audit firms (EY, PWC, Deloitte, BDO, HLB, Talal Abu-Ghazaleh, Maayah & CO, Tarifi Co., Farrage & Nashwan)
SPECIALIST	Dummy variable = 1 when the auditor is a specialist in the company's industry and = 0 otherwise
BIG4	1 for companies audited by Deloitte, EY, KPMG, or PWC, and 0 otherwise
Control Variables - Client variables	
LEVERAGE	Total debt divided by total assets
ROA	Return on assets: total profits divided by total assets
SIZE	Natural log of company's total assets
REVENUE	Natural log of company's revenues
PPE	Natural log of company's Property Plant and Equipment
CURRENT RATIO	Total current assets divided by total current liabilities
LOSS	Dummy variable = 1 if the company made a profit in the previous year and = 0 otherwise
Control Variables - Others	
YEARS	Categorical variable that reflects the year of 2019–2023
INDUSTRY	Categorical variable that reflects industry sector: Service, Insurance, Banks, Industry, Investment.

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